EMI & Repayment – Sample

FICTIONAL SAMPLE DOCUMENT — created for RAG chatbot testing. These terms are illustrative and are not real lender terms, legal advice, or a credit offer.

What is EMI?

EMI means Equated Monthly Instalment. It is the periodic payment used to repay principal and interest over the agreed tenure.

EMI Calculation

For an amortizing loan, EMI depends on principal, annual interest rate, and number of monthly instalments.

Payment Date

The repayment date is specified in the loan agreement or repayment schedule. Customers should maintain sufficient funds before the due date.

Tenure Effect

For the same principal and interest rate, a longer tenure generally reduces the monthly EMI but may increase the total interest paid over the life of the loan.

Part Payment

Part-prepayment may be permitted subject to the applicable loan agreement and prepayment rules.

Missed EMI

A missed EMI can result in overdue charges and may affect credit reporting according to the applicable policy and reporting rules.

End of sample document.